A PRACTICAL GUIDE · 2026 EDITION

Financing Your Project in France

What lenders really look for

Mortgages, rental property, SCIs and holding companies
Lombard loans, LBOs and OBOs



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Introduction

A bank makes its lending decision based on the application in front of it. This guide shows you how to build an application with the credit analyst's assessment in mind.

Every week we see sound projects turned down because of an overdraft on a statement, poorly documented income or a legal structure chosen without considering how to finance it. We also see borrowers secure excellent terms because they knew which evidence to present and who needed to see it.

Who this guide is for

- **Buying your main home?** Parts 1 and 2 are for you, whether or not you are a first-time buyer.
- **Investing in rental property?** Read Parts 1 and 3 if you plan to buy in your own name, through an SCI or through a holding company.
- **Running, investing in or acquiring a business?** Part 4 covers lending typically handled by specialist teams, from Lombard loans to leveraged buyouts.

How to use the guide

Each chapter explains what lenders look for and what you can prepare. The practical tools and 15 frequently asked questions are at the back of the book.

The main sources are listed at the back. Rates, thresholds and schemes can change. Check which rules apply to your transaction before you commit.

When to seek individual advice

Two applications that look alike can receive different answers depending on the bank, the branch, the time of year and the borrower's relationship with the lender. Seek advice tailored to your circumstances.

2 How an analyst reviews your application

A credit analyst may spend only a few minutes forming an initial view of your application. These are the checks they typically make, in order.

1. **Debt-service ratio.** Above 35%, a loan subject to the HCSF rules requires the bank to use its flexibility allowance.
2. **Income left after debt payments.** With a monthly income of €10,000 and a debt-service ratio of 38%, you have €6,200 left. With €2,500 of income and a 33% ratio, you have €1,675 left. Some lenders give this figure considerable weight and assess it against the size of the household.
3. **Deposit.** The amount required depends on the project and your circumstances. A larger deposit can improve the terms you are offered. See the section below on deposits in 2026.
4. **Savings after completion.** Banks often prefer a reasonable deposit that leaves an emergency reserve to a larger deposit that empties your accounts.
5. **Income stability.** A permanent contract after probation, a civil service post or an established professional practice reassures lenders. If you are a temporary worker, on a fixed-term contract or newly self-employed, show where else the application is strong.

6. **Account conduct.** Expect to provide three months of statements, sometimes six. Overdrafts, failed direct debits and online gambling transactions can all lead to a refusal.
7. **The property.** The lender looks at price relative to the market, condition and location. The property is the lender's security of last resort.

What banks look for in a deposit in 2026

- **Main home.** The deposit depends on the borrower. A loan without a deposit remains possible in 2026, for example for a young couple on modest incomes. They need to show sound household finances and, in particular, emergency savings built up from their own income.
- **Rental investment.** Most banks expect you to cover at least the acquisition fees, security costs, arrangement fees and any brokerage fees. These typically represent 8–10% of the total project cost, depending on whether works are needed.
- **Fees and furniture.** Some lenders also ask you to cover estate agency fees and furniture. Others require a contribution to the purchase price as well as the fees. In the applications we see, that contribution can reach 20–30% depending on the lender and the project.
- **Borrower profile.** With the same income and debt-service ratio, a non-resident will generally receive less favourable terms than a French tax resident, particularly on the deposit.

Two points matter in the negotiations we see at Peak Funding.

1. **The overall banking relationship.** Current accounts with payment facilities, professional income paid into the account and, for rental investments, rent paid into it.
2. **Deposits.** Cash you can place with the bank. Banks face capital and liquidity requirements under Basel III. Taking deposits helps them meet those requirements while continuing to lend.

Borrowers who bring savings to the bank can often negotiate better terms.

A guide to the amount left after repayments

There is no official threshold. Each bank has its own criteria and considers household size. At Peak Funding, a starting point is €800 a month for a couple without children, plus €300 per child, or €1,400 for a couple with two children. A comfortable monthly surplus can strengthen a request for an exception.

The increase in monthly housing costs

This is the difference between your current rent or mortgage payment and what you will pay after buying. If you pay €900 in rent and expect a €1,300 mortgage payment, your housing payment increases by €400.

The bank wants to know whether your budget can absorb the increase. If you have saved €500 each month for the past year, that record can help demonstrate that you can manage a €400 increase.

Banque de France registers

Before granting a loan, the bank consults the FICP register of repayment incidents on personal loans. A record of serious arrears or a debt restructuring plan almost always prevents approval while the record remains. The bank may also check the FCC central cheque register, which includes restrictions on banking facilities.

Disclose any past incident at the outset, even if it has been resolved. If the bank discovers it late in the review, it may question the rest of your application.

> PRACTICAL STEPS
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> Review your accounts three months before applying. Clear small consumer loans if you can. A €250 monthly car payment can reduce your borrowing capacity by much more than the savings needed to pay off the balance.

What to remember

Prepare your statements and show how your budget will absorb the increase in housing costs. State how much you will have in savings after completion.

END OF THE FREE EXTRACT

What you will find in the full edition

You have just read how a credit analyst reviews an application. The full edition shows you how to build yours, project by project.

- **The rules and your income**: the HCSF standard, the statutory rate cap, the Lemoine Act, income of self-employed borrowers and company directors, dividends.
- **Standard mortgages**: loan types, the zero-rate loan (PTZ) and assisted loans, security, borrower insurance, negotiating and bouncing back after a refusal.
- **Investment and structuring**: SCIs subject to income tax or corporation tax, holding companies and the parent-subsidiary regime, mixed-use buildings financed in two loan tranches, short-term letting.
- **Specialist finance**: blended loans, Lombard loans, seller financing, LBOs, OBOs, property dealers and development.
- **Practical tools**: a timeline, checklists, an insurance switch request template, a glossary and 15 frequently asked questions.

Get the full guide

78 pages · 2026 edition · PDF

Available at peakfunding.eu

Discuss your project

Does your application not fit the usual boxes? That is often where we help most. Book a meeting with the firm at peakfunding.eu.

No payment of any kind may be required from an individual before one or more loans have been obtained. (Aucun versement, de quelque nature que ce soit, ne peut être exigé d'un particulier, avant l'obtention d'un ou plusieurs prêts d'argent.)
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